UNIT-1: INTRODUCTION TO MANAGEMENT

Topics:

1.1 Concept of Management with its Nature & Importance
1.2 Functions of Management
1.3 F.W. Taylor's Scientific Management for Optimizing Efficiency
1.4 Principles of Management by Henry Fayol
1.5 Social Responsibilities of Management
1.6 Motivation: Maslow's need of Hierarchy
1.7 Herzberg two Factor Theory
1.8 McGregor Theory X and Theory Y
1.9 Leadership Definition & Styles
1.10 Planning Definition & types of Plans
1.11 Decision Making Definition and Process

1.1 Concept of Management with its Nature & Importance

In the world of Management, one thing is always for certain, ***Organizations need Managers*** to focus on the following responsibilities:

- To set the Goals
- To make Plans
- To organize & arrange things
- To lead and motivate people
- To evaluate the goals accomplishment
- To change things when needed

To begin the journey of being a great manager, it is important to know all the areas of learning management in this syllabus and practicing the principles, theories and managerial rolls makes you efficient and effective manager.

In Unit-1, we learn basic concepts of Management and Organization as a part of **"Introduction to Management".** All concepts of Unit-1 meet **Course Objective-1.**

(a) Definitions of Management:

Different authors, management practitioners, academicians, researchers, defined the term management in different views or concepts. Based on definitions, management thinkers have taken pragmatic steps to build the body of knowledge to learn management. The following are the few famous definitions considered:

1. According to Louis Allen, "Management is what a manager does"

But that simple statement doesn't tell us much. This doesn't mean that managers can do what they want anytime, anywhere, or in any way. And two more things get us into chaos, i.e. how to select the managers to manage from different rolls and what skills and abilities does a manager required to manage. Hence, a better explanation given by the authors later is that ***the management involves coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively.***

2. According to Mary Parker Follet, "Management is an art of getting things done through people"

This is considered as unique definition which describes management as purely art. From this definition, the characteristics of management turned with distinctive process and dynamic function.

3. According to F.W.Taylor, "Management is the art of knowing what you want to do and then seeing that they do it in the best and the cheapest manner".

This above definition is widely accepted by many practitioners and organizations as a scientific approach of management.

4. Harold Koontz, extended Mary Parker's definition as "Management is the art of getting things done through others and with formally organized groups"

This definition extended the scope of management practice from personnel to organizational level.

5. George Robert Terry, who was professor of Ball State University, emphasized the management functions on his definition and defined as "Management is a distinct process consisting of planning, organizing, actuating and controlling; utilizing in each both science and arts, and followed in order to accomplish pre-determined objective"

The above definition speaks about accomplishing organizational goals with functional process. And the author emphasized that the process is always distinct from manager to manager/situation to situation/organization to organization.

Lateral researchers, **Theo Haimann & William Scott** defined management in different way as a social and technical process. According to them, "Management is a social and technical process which utilizes, resources, influences, human action and facilitate changes in order to accomplish organizational goals"

From all the above definitions, we can understand the essence and importance of management in order to perform group activities and to achieve goals.

(b) Nature & Importance of Management:

As the management differs from ownership, the importance of management has also started increasing. The management has been recognised as a practice since long ago. The study and application of management techniques in managing the affairs of the organization have changed in its nature over a period of time. According to the recent approaches, the nature of management can be explained as follows:

1. **Management as Universal process:** The principles and techniques are not only applicable to business organizations alone, but they are also universal applications. They can be applied to social, religious, Charitable and non-profitable organizations also. The essence of management is integration of human and other resources in a manner such that it leads to effective performance.
2. **Management is Goal Oriented:** When a person, group of persons or organizations working on common goals it is important to consider management principles and

theories to setup the rolls in hierarchy, to make the plans and to achieve with efficient utilization of resources.

3. **Management as Continuous Process:** Management is a continuous process - It is a never-ending process. It is concerned with constantly identifying the problem and solving them by taking adequate steps. It is an on-going process.
4. **Management Multi-dimensional and multi-disciplinary:** It is a body of knowledge and takes the concept from other disciplines such as Economics, Psychology, Sociology, Anthropology, Statistics, Operation Research, Technology, etc. Management integrates the idea and concepts taken from other disciplines and uses them in managing the affairs of an organization and also develops new concepts. This makes management multidisciplinary and multidimensional.
5. **Management as Group Activity**: Management is commonly defined as activity done by people to maintain and manage the business environment and structure. It cannot be done by a single person, as it involves huge and wide variety of process.
6. **Management as Dynamic Function:** Management has to make changes in goal, objectives and other activities according to changes taking place in the environment. The external environment such as social, economic, technical and political environment has great influence over the management.
7. **Management as Intangible force**: Management is an intangible force because it is an unseen force. Its presence can be felt at every step performed. It helps in planning, organising, coordinating, staffing controlling etc.
8. **Management as Science, as Art and as Profession:** The beauty of management lies in the fact that it is a multiverse subject. In other words, it can be science, art, profession or all of these simultaneously.
   - **Management as Science:** Science is a systematic body of knowledge pertaining to a specific field of study that contains general facts which explains a phenomenon. It establishes cause and effect relationship between two or more variables and underlines the principles governing their relationship. These principles are developed through scientific method of observation and verification through testing. Science is characterized by following main features:
     - Universally acceptance principles
     - Experimentation & Observation
     - Cause & Effect Relationship
     - Test of Validity & Predictability

     It cannot be denied that management has a systematic body of knowledge but it is not as exact as that of other physical sciences like biology, physics, and chemistry etc. The main reason for the inexactness of science of management is that it deals with human beings and it is very difficult to predict their behavior accurately. Since it is a social process, therefore it falls in the area of social sciences.
   - **Management as Art:** It is called an art because managing requires certain skills which are personal possessions of managers. Science provides the knowledge & art

deals with the application of knowledge and skills. A manager to be successful in his profession must acquire the knowledge of science & the art of applying it.

- **Management as Profession:** Over a large few decades, factors such as growing size of business unit, separation of ownership from management, growing competition etc have led to an increased demand for professionally qualified managers. The task of manager has been quite specialized. As a result of these developments the management has reached a stage where everything is to be managed professionally.

  A profession may be defined as an occupation that requires specialized knowledge and intensive academic preparations to which entry is regulated by a representative body. The essentials of a profession are:
  - Specialized Knowledge
  - Formal Education & Training
  - Social Obligations
  - Code of Conduct
  - Representative Association

From above discussion, it is quite clear that management fulfills several essentials of a profession, even then it is not a full-fledged profession because: -

1. It does not restrict the entry in managerial jobs for account of one standard or other.
2. No minimum qualifications have been prescribed for managers.
3. No management association has the authority to grant a certificate of practice to various managers.
4. All managers are supposed to abide by the code formulated by AIMA,
5. Competent education and training facilities do not exist.
6. Managers are responsible to many groups such as shareholders, employees and society. A regulatory code may curtail their freedom.
7. Managers are known by their performance and not mere degrees.
8. The ultimate goal of business is to maximize profit and not social welfare. That is why Haymes has rightly remarked, "The slogan for management is becoming - 'He who serves best, also profits most'."

1.2 Functions of Management:

The process of management consists of certain functions to be performed in a logical sequence. Koontz identified planning, organizing, staffing, directing and leading, and controlling are the major functions of the management. Luther Gullick coined a new term 'POSDCORB' indicating P-planning, O-organizing, S-staffing, D-directing, CO-coordinating, R-reporting, B-budgeting. He also added functions like Reporting and Budgeting.

Other classical thinkers on management suggested two additional functions like innovation and representation. Innovation is essence of manager's prime attention and that the manager of the organization. Henri Fayol lists five functions as elements of management process-planning, organizing, commanding, coordinating and controlling. Other scientists also considered motivation, leadership and communication are required. But the most widely accepted are functions of management given by KOONTZ and O'DONNEL as follows:

A. PLANNING:

Planning deals with chalking out a future course of action & deciding in advance the most appropriate course of actions for achievement of pre-determined goals. According to KOONTZ, "Planning is deciding in advance - what to do, when to do & how to do. It bridges the gap from where we are & where we want to be". A plan is a future course of actions. It is an exercise in problem solving & decision making.

Features of Planning:

1. Planning provides a basis for other functions of management hence, it is called as Primary Function. Involves selecting the objectives and actions to achieves them planning stage involves decision making and choosing future courses of action from the various alternatives
2. It focus on achieving objectives in long-term and short-term
3. As planning is all time process and spread in all levels, it is considered as Pervasive
4. It is considered as continuous process
5. Always focus on future predictions hence it is futuristic.
6. It evolved in decision making

Importance of Planning:

1. Provides decision: Based on the forecast's discussions with tops management authority, planning provides best decisions along with alternatives. Those decisions help to set the objectives of an organization.
2. Reduces risk of uncertainty: Perfect planning before done anything helps to reduce risk and uncertain situation related to market competitions, customer requirements.
3. Avoids overlapping and waste tasks: Improper organization and coordination leads to overlapping, duplications and wasteful activities by people in the organization.
4. Promotes innovative ideas: Planning function always keeps attention on environmental changes and present scenarios. Hence planning always involves in creating innovative

ideas to frame policies, procedures, programs and strategies. Those innovations carry forward to the all management and administrative function makes organization healthy and successful.

5. Set standards for controlling: Controlling is aimless without planning. Planning has to set the standard of each job performed by the employees with necessary metrics for evaluation. Controlling function works on the standards and metrics set by the planning authority to maintain the activities in effective manner.

B. ORGANIZING:

Organizing is a process (series of steps) of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships for the purpose of accomplishing objectives. It is an essential function that makes the plans operational by identifying and classifying necessary activities.

Steps in Organizing process:

1. Identification and division of work
2. Departmentalization
3. Assignment of duties
4. Establishing reporting relationships

Importance of Organizing:

1. Benefits of Specialization
2. Clarity on working relationships
3. Effective and ministration
4. Optimum utilization of resources
5. Development of personnel
6. Adaptation to change

C. STAFFING:

Staffing is a process which includes recruitment, selection, training, placement, appraisal, promotion, and career planning. In small organizations, all these are taken care of by the manager himself. But in large organizations, a separate department called Personnel Department looks after these functions and this is headed by a qualified professional manager called Personnel Manager.

Panning and organizing functions will take care of what is to be done and how is to be done whereas Staffing function gives clarity on whom is going to be done. In this process the department of Human resource has to undergo the following functions to make HR utilisation effectively.

- Estimating workforce requirements
- Conducting recruitment process
- Selecting right people to the right job at right time
- Conducting performance appraisal
- Caring of Training and development
- Induction and orientation
- Promotions and transfers
- Compensations and incentive benefits

- Separation

D. DIRECTING:

This function makes people to do the work in a right manner on the best of their abilities. The first three function of panning, organizing and staffing are called as thinking functions where as directing is called as execution function. Directing is a process of issuing orders and instructions to guide and teach the subordinates the proper methods of work and ensuring that they perform their jobs as planned. Direction is that inert-personnel aspect of management which deals directly with influencing, guiding, supervising, motivating sub-ordinate for the achievement of organizational goals. Direction has following elements:

Supervision: This implies overseeing the work of subordinates by their superiors. It is the act of watching & directing work & workers.

Motivation: It means inspiring, stimulating or encouraging the sub-ordinates with zeal to work. Positive, negative, monetary, non-monetary incentives may be used for this purpose. The process of stimulating the employees to perform more effectively using their abilities and full potential is called motivation. The factors of motivation are a) financial b) non-financial.

Leadership: It is a decisive function of the management in which the employees are led and directed so that the objectives of the organization will be successfully achieved. An effective manager should also be an effective leader.

Communication: Supervision- implies overseeing the work of subordinates by their superiors. It is the act of watching & directing work & workers. It is a process of creating, transmitting and interpreting messages, ideas, facts, opinions, and feelings. The vital function of the manager is to communicate to his staff as to what they should do through orders, meetings, circulars, and notices. This implies communication is a two-way process. An important part of the communication process is feedback

Features of Directing:

- Directing initiates' action
- Continuing function
- Directing takes place at every level
- Directing flows from top to bottom
- It is performance oriented
- It is considered as human element

E. CONTROLLING:

This function deals with comparing and leading actual performance to standard performance with corrective measures. It implies measurement of accomplishment against the standards and correction of deviation if any to ensure achievement of organizational goals. The purpose of controlling is to ensure that everything occurs in conformities with the standards. An efficient system of control helps to predict deviations before they actually occur.

According to Theo Haimann, "Controlling is the process of checking whether or not proper progress is being made towards the objectives and goals and acting if necessary, to correct any deviation".

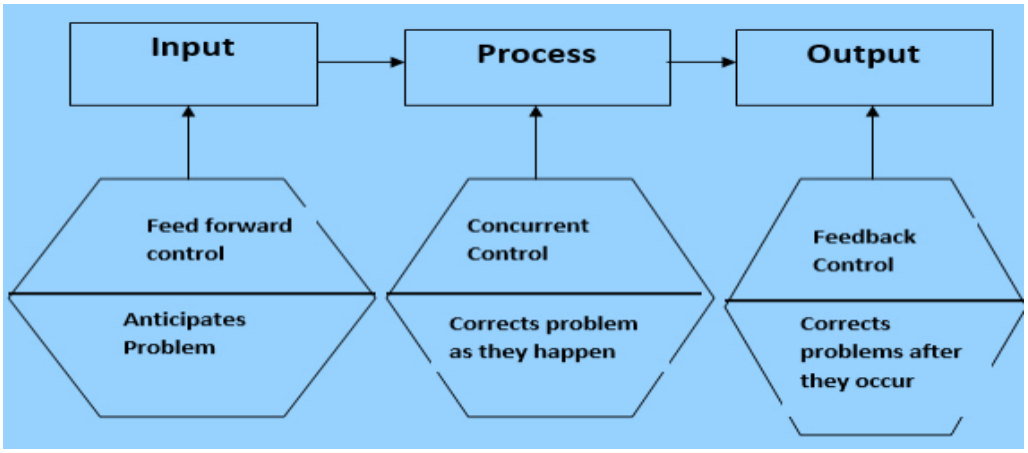
According to Koontz & O'Donell "Controlling is the measurement & correction of performance activities of subordinates in order to make sure that the enterprise objectives and plans desired to obtain them as being accomplished". Therefore, controlling has following steps:

- Establishment of standard performance.
- Measurement of actual performance.
- Comparison of actual performance with the standards and finding out deviation if any.
- Corrective action.

Nature of Controlling:

- This is called as goal-oriented process
- Pervasive function
- The quality of backward looking as well as forward looking.

Types of Controlling:



1.3 F.W.Taylor's Scientific Management Theory:

Scientific management theory is a theory which analyses and synthesizes workflows. This theory was proposed by 'Frederick Winslow Taylor'. Its main objective is improving economic efficiency especially labor productivity. It was one of the earliest attempts to apply science to the scientific management.

Period: 1911
Place: Ford Company
Motive: Encouraging industrial companies to switch mass production

THEORY: Fedrick Wilson Taylor is a mechanical engineer and management professional. While working in Ford company, Taylor's philosophy focused on the belief that "Making people work as hard as they could was not as efficient as optimizing the way the work was done"

He proposed that by optimizing and simplifying jobs, productivity can be increased. He also advanced the idea that workers and managers needed to cooperate with one another.
In olden days managers had little contact with workers. Because of this there was no standardization and also there were no incentives to work as quickly or as efficiency as possible.

Taylor believed that all workers were motivated by money. So he promoted the idea of ''fair day's pay for fair day's work''.

Taylor's 4 Principles of Scientific Management: After years of various experiments to determine optimal work methods, Taylor proposed the

1. **Replace rule-of-thumb work methods (Time & Motion Study):** Study the way jobs are performed and find new ways to do them with methods based on a scientific study of the tasks.
2. **Scientifically select, train, and develop:** Train, teach & develop the workmen with improved methods of doing work rather than passively leaving them to train themselves.
3. **Mutual Understanding (Cooperate with the workers):** Develop humanised interest among employees & employers to secure mutual relations.
4. **Divide work & Levels of Performance:** Establish fair levels of performance & pay a premium for high performance. And divide work between managers and workers, so that the managers apply scientific management principles to planning the work and the workers actually perform the tasks.

   These principles were implemented in many factories, often increasing.

DRAWBACKS:

While scientific management principles improved productivity and had a substantial impact on industry, they also increased the monotony of work. The core job dimensions of skill variety, task identity, task significance, autonomy, and feedback all were missing from the picture of scientific management. While in many cases the new ways of working were accepted by the workers, in some cases they were not. The use of stopwatches often was a protested issue and led to a strike at one factory where "Taylorism" was being tested. Despite its controversy, scientific management changed the way that work was done, and forms of it continue to be used today.

1.4 Henry Fayol's principles of management

Henri Fayol (1841-1925) was a French management theorist whose theories in management and organization of labor were widely influential in the beginning of 20th century. He was a mining engineer who worked for a French mining company Commentary – Fourchamboult - Decazeville, first as an engineer. Then he moved into general management and became Managing Director from 1888 to 1918.

The 14 Management Principles Proposed by Henri Fayol (1841-1925) are:

1. Division of Work:

Dividing the full work of the organization among individuals and creating departments is called the division of work. Division of work leads to specialization, and specialization helps to increases efficiency and efficiency which results in improvements in the productivity and profitability of the organization.

2. Balancing Authority & Responsibility:

Authority must be equal to Responsibility. According to Henri Fayol, there should be a balance between Authority (Power) and Responsibility (Duties). The right to give orders should not be considered without reference to responsibility. If the authority is more than responsibility then chances are that a manager may misuse it. If responsibility is more than authority then he may feel frustrated.

3. Discipline:

Outward mark of respect in accordance with formal or informal agreements between a firm and its employees. Discipline means respect for the rules and regulations of the organization. Discipline may be Self-discipline, or it may be Enforced discipline. No slacking or bending of rules, not allowed in any organization. The works must respect the rules that run the organization. To establish discipline, good supervision and impartial judgment are needed.

4. Unity of Command:

According to this principle, a subordinate (employee) must have and receive orders from only one superior (boss or manager). To put it another way, a subordinate must report to only one superior. It helps in preventing dual subordination. This decreases the possibilities of "Dual subordination" which creates a problem is a function of managers.

5. Unity of Direction:

One head and one plan for a group of activities with the same objective. All activities which have the same objective must be directed by one manager, and he must use one plan. This is called the Unity of Direction. For example, all marketing activities such as advertising, sales promotion, pricing policy, etc., must be directed by only one manager.

He must use only one plan for all the marketing activities. Unity of direction means activities aimed at the same objective should be organized so that there are one plan and one person in charge.

6. Subordination of Individual Interests to the General Interest:

The interest of one individual or one group should not prevail over the general good. The individual interest should be given less importance, while the general interest should be given the most importance. If not, the organization will collapse. The interest of the organizational goal should not be sabotaged by the interest of an individual or on the group.

7. Remuneration:

Remuneration is the price for services received. Pay should be fair to both the employee and the firm. If an organization wants efficient employees and best performance, then it should have a good remuneration policy. This policy should give maximum satisfaction to both employers and employees. It should include both financial and non-financial incentives. Compensation should be based on a systematic attempt to reward good performance.

8. Centralization:

It is always present to a greater or lesser extent, depending on the size of the company and the quality of its managers. In centralization, the authority is concentrated only in a few hands.

However, in decentralization, the authority is distributed to all the levels of management. No organization can be completely centralized or decentralized. If there is complete centralization, then the subordinates will have no authority (power) to carry out their responsibility (duties). Similarly, if there is complete decentralization, then the superior will have no authority to control the organization. Therefore, there should be a balance between centralization and decentralization.

9. Scalar Chain:

The chain of command, sometimes called the scalar chain, is the formal line of authority, communication, and responsibility within an organization. The chain of command is usually depicted on an organizational chart, which identifies the superior and subordinate relationships in the organizational structure. Or it is the line of authority from top to bottom of the organization. This chain implements the unity-of-command principle and allows the orderly flow of information. Under the unity of command principle, the instructions flow downward along the chain of command and accountability flows upward.

10. Order:

A place for everything and everything in its place' the right man in the right place. There should be an Order for material/things and people in the organization. Order for things is called Material Order and order for people is called 'Social Order'. Material Order refers to "a place for everything and everything in its place." Social Order refers to the selection of the "right man in the right place".

11. Equity:

While dealing with the employees a manager should use kindliness and justice towards employees equally. Equity is a combination of kindness and justice. It creates loyalty and devotion in the employees toward the organization. The equity principle suggests that the managers must be kind as well as equally fair to the subordinates.

12. Stability of Tenure of Personnel:

Although it could take a lot of time, Employees need to be given fair enough time to settle into their jobs. An employee needs time to learn his job and to become efficient. The employees should have job security because instability leads to inefficiency. Successful firms usually had a stable group of employees.

13. Initiative:

Without limits of authority and discipline, all levels of staff should be encouraged to show initiative. Management should encourage initiative. That is, they should encourage the employees to make their own plans and to execute these plans. This is because an initiative gives satisfaction to the employees and brings success to the organization.

14. Esprit De Corps:

Esprit de Corps means "Team Spirit". Therefore, the management should create unity, co-operation, and team-spirit among the employees. They should avoid dividing and rule policy. Harmony, cohesion among personnel. It's a great source of strength in the organization. It is a quality in every successful business.

These principles are guidelines for every management function. The manager must act according to the 14 principles of management; in order to reach the goal and create a surplus.

These 14 management principles of Henri Fayol are universally accepted. they work as a guideline for managers to do their job according to their responsibility. The right to issue commands, along with which must the balanced responsibility for its function.

1.5 Social Responsibility of management

Social responsibility is having a sense of duty to society and everything that is a part of it. In other words, "social responsibility" means managers are accountable to society at large, not just their shareholders.

Social responsibility is an important aspect of capitalism at large. Individuals and consumers place trust in businesses to "do the right thing", and take a leadership role in making the world a better place. A world with more socially-responsible managers also leads to fewer government regulations, since regulations are almost always introduced as a reaction to businesses profiting at the loss of society around them.

What does it involve and who does it involve?

The business itself (through its mission and vision statements), those put in charge of running it (the managers), and the people that produce value for it (the rank-and-file employees) are expected to act socially responsible. This means they have to be virtuous in who they are and what they do; that is, think in the best interests of the public, act on those best interests, being able to face the consequences of those actions (if they ever arise), controlling negative behaviors that could lead to negative outcomes, and most importantly, being fair to yourself and those around you.

Upper managements such as the chief executive officers (CEO), the chief financial officer (CFO), the chief operating officer (COO), the chief technology officer (CTO), the chief marketing officer (CMO), the directors, the presidents, the senior vice presidents, the vice presidents, the sales managers, and many others are charged with being the role models, supporters, the enforcers, the implementers, and the delegators of social responsibility. In other words, social responsibility usually comes from the top, with the highest-level managers encouraging their subordinates to act with social responsibility. This is usually done through the company's mission and vision statements, implementations of internal controls, and specific goals laid out in the business plan.

Besides the management, there are those who keep such people in line and make sure they're accountable and responsible for everything that happens: you, me, the media, the government, regulatory agencies, critics, customers, investors, activists, and so forth. "Bad press" and "good press" are the biggest motivators for managers to act with social responsibility. If the public sentiment starts viewing a company negatively, its competitors will be very eager to start stealing business.

Everyone is a stakeholder; including the owners (shareholders), employees, customers, suppliers, and society at large. The internal stakeholders are those inside the company, and the external stakeholders are everyone outside of the company.

How should managers approach social responsibility?

Management should make every effort to appear and become socially responsible in everything they do, and what they represent. This helps keep the company in high esteem with their customers, but also proactively avoids problems caused by new regulations (either by preventing their passage to begin with, or already being prepared for them once they are enacted). Managers can be socially responsible by focusing on four key areas.

Constructive

Being and becoming socially responsible is about working with people who are able to identify when something is socially responsible or irresponsible. Social responsibility is about listening and learning about the people and the environment from which it will apply. Being constructive means listening to complaints, coming from both inside and outside of the organization, and being willing to act on those complaints.

Open-minded

The past is in the past, pay attention to the here and now, the moment in time where it actually counts. Do not be afraid to try new things or consider different options because things will continue to change. Change is something we all have to deal with as we approach the future.

This means companies need to be willing to listen to new research and new concerns coming from outside the organization, even if those concerns might mean a fundamental change to their products or way of doing business.

Accommodating

Do whatever you can to be socially responsible in all areas of your life and your career. By being more accommodating you will make it harder for critics to question your management ability or implicate you in crimes against social responsibility.

In other words, when valid concerns are raised, socially responsible managers need to actually do something about it. This does not mean changing the entire way an organization does business with every valid complaint, but it does mean managers address complaints coming from outside the organization while mapping the company's path forward.

Proactive

Take the necessary steps to make social responsibility happen and not wait around for others to follow through with it. Make sure that the structure of social responsibility is in place, but always follow up just to be sure that everyone is complying with it because even if one person diverges, detraction will soon follow.

In conclusion:

The theme of social responsibility is that;

(i) A business firm should not ignore the welfare of the society,

(ii) Policies and decisions of the business enterprise, should focus on values of society,

(iii) Earning profit by honouring values of society and finally assist the promotion of welfare of the society.

1.6 Motivation: Maslow's theory of Hierarchical needs:

Human motives are based on needs, whether consciously or subconsciously. Some of them are primary such as food, water, air, shelter, sleep, etc. and other needs may be regarded as secondary such as affiliation, status, affection, self-esteem, etc. Motivation is a general term applying to the entire class of drives, desires, needs, wishes and similar forces.

To say that managers motivate their subordinates is to say that they do things which they hope will satisfy these drives and desires and induce the subordinates to act in a desired manner.

Managers are responsible for providing an environment conductive to performance. But individuals themselves are responsible for self-motivation. There are many motivational theories are developed my management experts such as:

Maslow's theory of Hierarchy of needs

ABRAHAM MASLOW, Professor of Psychology, Columbia University focused on positive qualities of people. Maslow proposed that motivation is the result of a person's attempt at fulfilling five basic needs: physiological, safety, social, esteem and self- actualization.

Maslow's hierarchy of needs is a motivational theory in psychology comprising a five-tier model of human needs, often depicted as hierarchical levels within a pyramid.

Psysiological needs: These are the basic needs for sustaining human life itself, such as food, water, warmth, shelter, and sleep, Maslow took the position that, until these needs are satisfied to the degree necessary to maintain life, other needs will not motivate people.

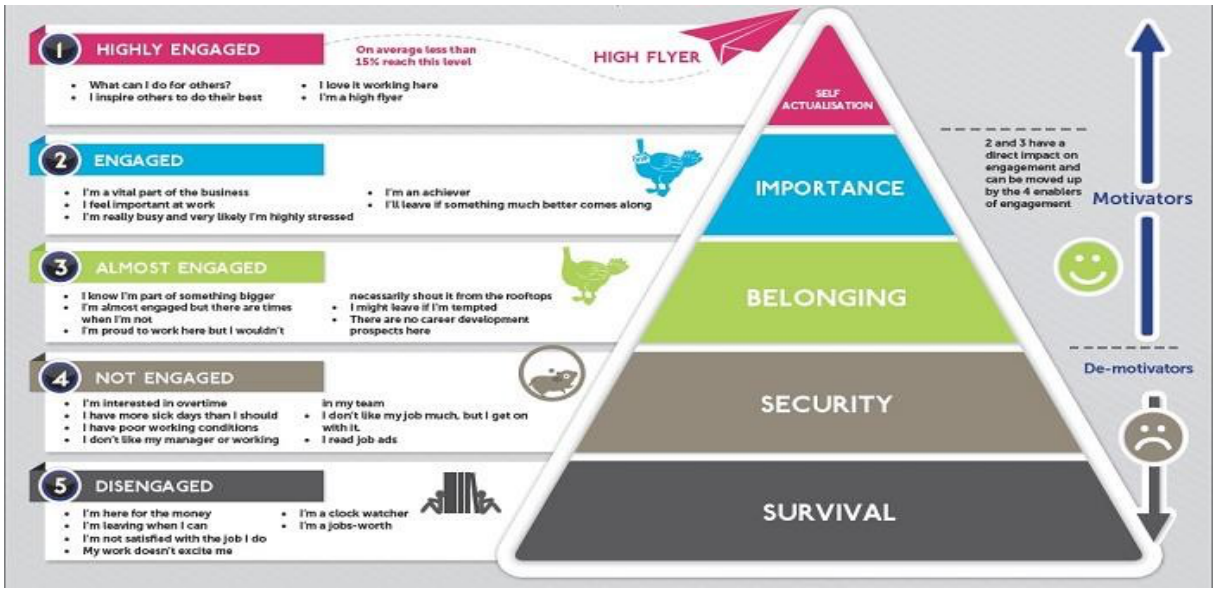
Security or Safety needs: People want to be free of physical danger and fear of losing a job, property, food, or shelter.

Affiliation or belonging or acceptable needs: Since people are social beings, they need to belong, to be accepted by others with relation, friendship and love, to feel the belongingness

Esteem needs: According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others. This kind of need produces satisfaction such as power, prestige, status, and self-confidence.

Need for Self-actualization: Maslow regards this as the highest need of his hierarchy. It is the desire to become what one is capable of becoming to maximize one's potential and to accomplish something.

By considering the above hierarchy of needs, a manager(s) can achieve employee engagement and improve employee retention. When organization takes the responsibility of fulfilling these needs by choosing proper ways and alternatives, employees will engage in their job and consider their importance for the organization. In result. They always tend to give good work to accomplish goals in a best and cheapest way. The following diagram shows the engagement of employees at various levels in connection with motivation.



1.7 Herzberg two factor theory:

In 1959, Frederick Herzberg, a behavioural scientist proposed a two-factor theory or the motivator-hygiene theory. According to Herzberg, there are some job factors that result in satisfaction while there are other job factors that prevent dissatisfaction. According to Herzberg, the opposite of "Satisfaction" is "No satisfaction" and the opposite of "Dissatisfaction" is "No Dissatisfaction".

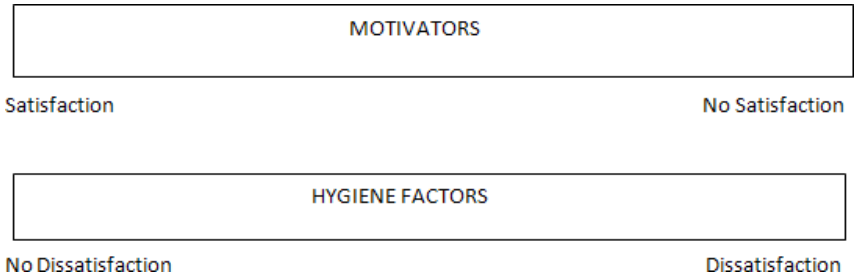


FIGURE: Herzberg's view of satisfaction and dissatisfaction

Herzberg classified these job factors into two categories-

Hygiene factors- Hygiene factors are those job factors which are essential for existence of motivation at workplace. These do not lead to positive satisfaction for long-term. But if these factors are absent / if these factors are non-existant at workplace, then they lead to dissatisfaction. In other words, hygiene factors are those factors which when adequate/reasonable in a job, pacify the employees and do not make them dissatisfied. These factors are extrinsic to work. Hygiene factors are also called as dissatisfiers or maintenance factors as they are required to avoid dissatisfaction. These factors describe the job environment/scenario. The hygiene factors symbolized the physiological needs which the individuals wanted and expected to be fulfilled. Hygiene factors include:

Pay - The pay or salary structure should be appropriate and reasonable. It must be equal and competitive to those in the same industry in the same domain.

Company Policies and administrative policies - The company policies should not be too rigid. They should be fair and clear. It should include flexible working hours, dress code, breaks, vacation, etc.

Fringe benefits - The employees should be offered health care plans (mediclaim), benefits for the family members, employee help programmes, etc.

Physical Working conditions - The working conditions should be safe, clean and hygienic. The work equipments should be updated and well-maintained.

Status - The employees' status within the organization should be familiar and retained.

Interpersonal relations - The relationship of the employees with his peers, superiors and subordinates should be appropriate and acceptable. There should be no conflict or humiliation element present.

Job Security - The organization must provide job security to the employees.

Motivational factors- According to Herzberg, the hygiene factors cannot be regarded as motivators. The motivational factors yield positive satisfaction. These factors are inherent to work. These factors motivate the employees for a superior performance. These factors are called satisfiers. These are factors involved in performing the job. Employees find these factors intrinsically rewarding. The motivators symbolized the psychological needs that were perceived as an additional benefit. Motivational factors include:

Recognition - The employees should be praised and recognized for their accomplishments by the managers.

Sense of achievement - The employees must have a sense of achievement. This depends on the job. There must be a fruit of some sort in the job.

Growth and promotional opportunities - There must be growth and advancement opportunities in an organization to motivate the employees to perform well.

Responsibility - The employees must hold themselves responsible for the work. The managers should give them ownership of the work. They should minimize control but retain accountability.

Meaningfulness of the work - The work itself should be meaningful, interesting and challenging for the employee to perform and to get motivated.

1.8 McGregor's theory X and Y:

Theory X and Theory Y are theories of human motivation and management. They were created and developed by Douglas McGregor at the MIT Sloan School of Management in the 1960s. These theories describe two contrasting models of workforce motivation applied by managers in human resource management, organizational behavior, organizational communication and organizational development.

According to the models, the two opposing sets of general assumptions of how workers are motivated form the basis for two different managerial styles. Theory X stresses the importance of strict supervision, external rewards, and penalties: in contrast, Theory Y highlights the motivating role of job satisfaction and encourages workers to approach tasks without direct supervision.

Assumptions of Theory X:

- An average employee intrinsically does not like work and tries to escape it whenever possible.
- Since the employee does not want to work, he must be persuaded, compelled, or warned with punishment so as to achieve organizational goals.
- A close supervision is required on part of managers. The managers adopt a more dictatorial style.
- Many employees rank job security on top, and they have little or no aspiration/ ambition.
- Employees generally dislike responsibilities.
- Employees resist change.
- An average employee needs formal direction.

Assumptions of Theory Y

- Employees can perceive their job as relaxing and normal. They exercise their physical and mental efforts in an inherent manner in their jobs.
- Employees may not require only threat, external control and coercion to work, but they can use self-direction and self-control if they are dedicated and sincere to achieve the organizational objectives.
- If the job is rewarding and satisfying, then it will result in employees' loyalty and
- commitment to organization.
- An average employee can learn to admit and recognize the responsibility. In fact, he can even learn to obtain responsibility.
- The employees have skills and capabilities. Their logical capabilities should be fully utilized. In other words, the creativity, resourcefulness and innovative potentiality of the employees can be utilized to solve organizational problems.

Comparing Theory X and Theory Y:

Motivation: Theory X assumes that people dislike work; they want to avoid it and do not want to take responsibility. Theory Y assumes that people are self-motivated, and thrive on responsibility.

Management Style and Control: In a Theory X organization, management is authoritarian, and centralized control is retained, whilst in Theory Y, the management style is participative: Management involves employees in decision making, but retains power to implement decisions.

Work Organization: Theory X employees tend to have specialized and often repetitive work. In Theory Y, the work tends to be organized around wider areas of skill or knowledge, and employees are encouraged to develop their expertise and make suggestions and improvements.

Rewards and Appraisals: Theory X organizations work on a 'carrot and stick' basis, and performance appraisal is part of the overall mechanisms of control and remuneration. In Theory Y organizations, appraisal is also regular and important, but is usually a separate mechanism from organizational controls. Theory Y organizations also give employees frequent opportunities for promotion.

1.9 Definition of leadership and styles

Leadership has different meanings to different authors. Leadership is defined as influence, that is the art of process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals.

Koontz, H. and C. O'Donnell in their book defined leadership as "Influencing people that they will strive willingly towards the achievement of group goals"

(a) Types of Leadership Styles:

1, The Autocratic or Authoritarian Leader:

This type of leaders makes decisions without reference to anyone else. Leader holds high degree of dependency. This may be suitable in some business organizations, where decisions need to be made quickly and decisively. They may be further divided into 3 sub types as

(a) Strict autocrat

(b) Benevolent autocrat

(c) Incompetent autocrat.

This leadership style has advantage of; employees know the manager's expectations and efficiency may be improved. But there are many disadvantages such as discouraging employees from thinking, leading employee dissatisfaction, lack of credit to employees, less promotions and declining performance by demotivation.

2. The Democratic or Participative Leader

This leadership encourages employee participation in decision making. They keeps staff informed about everything that affects their work and shares problem solving responsibilities.

Advantages:

- Leaders develops plans to help employees evaluate their own performance;
- They allow employees to establish goals
- Encourages employees to grow on the job and be promoted
- Recognizes and encourages achievement

- It is most successful when used with highly skilled or experienced employees or when implementing operational changes or resolving individual or group problems.

Limitations:

- But it is a time-consuming process in decision making.
- It is not effective in case of unskilled workers.
- Sometimes employees creates the problems if they don't like to work.

3. The Laissez-faire or Delegative Leader:

This is also known as a hands-off style of leadership. The manager provides little or direction and gives staff as much freedom as possible. All authority or power given to the staff and they determine goals, make decisions, and resolve problems on their own.

Advantages:

- Easy management to administer
- Competent empowerment to employees
- Efficient employees give more work in this style.

Disadvantages:

- Poor decision making may result poor performance or failure of tasks.
- Some employees do not perform well without supervision and direction.

4. The Charismatic Leader:

These leaders gathers followers through dint of personality and charm, rather than any form of external power or authority. Some prominent qualities of a charismatic leaders are as follows:

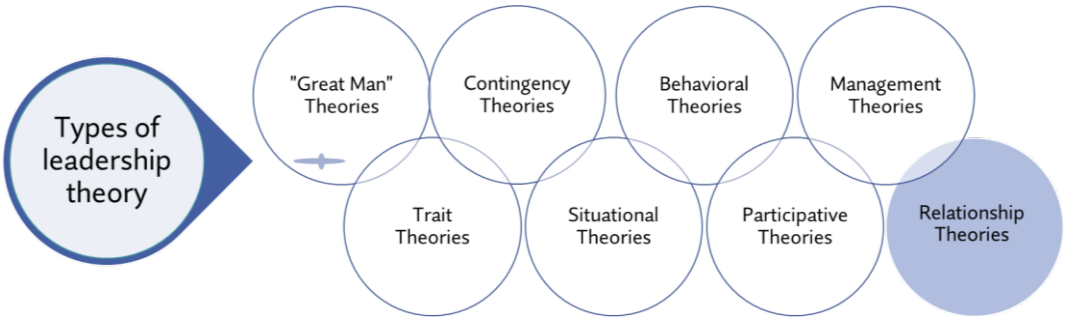
- Charismatic communication
- Inspiring with vision
- Energetic and enthusiastic
- Positivity
- Expert in their own field
- Power of belief in people
- Recognize greatness in others.

5. The Servant Leader:

Servant leaders devote themselves to serving the needs of organization members. They always focus on meeting the needs of those they lead. They develop employees to bring out the best in them. These leader coach others and encourage their self-expression. They facilitate personal growth in all who work with them. They are also good listeners builds a sense of community.

(b) Theories' of Leadership:

It's also essential to realize that leadership is a social process. It's less about a strong or charismatic individual, and more about a group of people working collectively to achieve results together. Leadership theories are the explanations of how and why certain people become leaders. They focus on the traits and behaviors that people can adopt to increase their leadership. Various theories are listed in the below diagram.



1.10 Planning Definition & Types of Plans:

According to Koontz and O'Donnell, Planning is deciding in advance what to do, when and how to do and who is going to do it. They defined decision making an actual selection from among various alternatives of a course of action. It is at the core of planning.

George R.Terry has defined planning is the selecting and relating the facts. He also given definition for the Decision making as the selection based on some criteria of one behavior alternative from two or more possible alternatives.

As per Allen, a plan is a trap laid to capture the future. In brief, Planning can be a process of finding answers for various questions related to future goal or objective to be achieved.

Types of Planning:

- **Strategic Planning: Setting of broad, long-range goals by top managers.**
  A strategic plan is the company's big picture. It defines the company's goals for a set period of time, whether that's one year or ten, and ensures that those goals align with the company's mission, vision, and values. Strategic planning usually involves top managers, although some smaller companies choose to bring all of their employees along when defining their mission, vision, and values.
- **Tactical Planning: Identification of specific, short-range objectives by lower-level managers.**
  The tactical strategy describes how a company will implement its strategic plan. A tactical plan is composed of several short-term goals, typically carried out within one year, that support the strategic plan. Generally, it's the responsibility of middle managers to set and oversee tactical strategies, like planning and executing a marketing campaign.
- **Operational Planning: Setting of work standards and schedules.**
  Operational plans encompass what needs to happen continually, on a day-to-day basis, in order to execute tactical plans. Operational plans could include work schedules, policies, rules, or regulations that set standards for employees, as well as specific task assignments that relate to goals within the tactical strategy, such as a protocol for documenting and addressing work absences.

- **Contingency Planning: Backup plans in case primary plan fails.**
  Contingency plans wait in the wings in case of a crisis or unforeseen event. Contingency plans cover a range of possible scenarios and appropriate responses for issues varying from personnel planning to advanced preparation for outside occurrences that could negatively impact the business. Companies may have contingency plans for things like how to respond to a natural disaster, malfunctioning software, or the sudden departure of a C-level executive.

Limitations of Planning:

1. Leads to rigidity
2. May not work in dynamic environment
3. Reduces creativity
4. Involves in high costs
5. Time consuming
6. No guarantee for success

1.11 Decision Making Definition & Process:

Decision making is the process of making choices by identifying a decision, gathering information, and assessing alternative resolutions. Using a step-by-step decision-making process can help you make more deliberate, thoughtful decisions by organizing relevant information and defining alternatives.

Process of Decision Making: 7 steps in decision making process:

1. Identify the Problem:

To make a decision, you must first identify the problem you need to solve or the question you need to answer. Clearly define your decision. If you misidentify the problem to solve, or if the problem you've chosen is too broad, you'll knock the decision train off the track before it even leaves the station. If you need to achieve a specific goal from your decision, make it measurable and timely so you know for certain that you met the goal at the end of the process.

2. Gather relevant information

Once you have identified your decision, it's time to gather the information relevant to that choice. Do an internal assessment, seeing where your organization has succeeded and failed in areas related to your decision. Also, seek information from external sources, including studies, market research, and, in some cases, evaluation from paid consultants. Beware: you can easily become bogged down by too much information—facts and statistics that seem applicable to your situation might only complicate the process.

3. Identify the alternatives

With relevant information now at your fingertips, identify possible solutions to your problem. There is usually more than one option to consider when trying to meet a goal—for example, if your company is trying to gain more engagement on social media, your

alternatives could include paid social advertisements, a change in your organic social media strategy, or a combination of the two.

4. Weigh the evidence

Once you have identified multiple alternatives, weigh the evidence for or against said alternatives. See what companies have done in the past to succeed in these areas, and take a good hard look at your own organization's wins and losses. Identify potential pitfalls for each of your alternatives, and weigh those against the possible rewards.

5. Choose among alternatives

Here is the part of the decision-making process where you, you know, make the decision. Hopefully, you've identified and clarified what decision needs to be made, gathered all relevant information, and developed and considered the potential paths to take. You are perfectly prepared to choose.

6. Take action

Once you've made your decision, act on it! Develop a plan to make your decision tangible and achievable. Develop a project plan related to your decision, and then set the team loose on their tasks once the plan is in place.

7. Review your decision

After a predetermined amount of time—which you defined in step one of the decision-making process take an honest look back at your decision. Did you solve the problem? Did you answer the question? Did you meet your goals?

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